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It's time for a Tax Reset

New Zealand has a tax and welfare system stuck in the past while too many families struggle to make ends meet. Working families face a cost-of-living crisis, with many unable to afford basic necessities despite being employed.

Our tax settings were designed for a different era. We rely almost entirely on taxing work and spending while land, one of our most valuable assets, largely escapes taxation. Meanwhile, our welfare system traps people in poverty with punitive rules and effective marginal tax rates that can reach 90%.

At the same time, we are woefully underprepared for the financial implications of an ageing population. Treasury projections show that, without reform, expenditure on National Superannuation will rise from approximately 15% of government revenue today to around 22% by 2065. This growing fiscal burden threatens our capacity to fund health, education, infrastructure, and climate transition. We need a system that ensures retirement security while building the productive capacity to deliver it.

At Opportunity we know New Zealand can do better.

- We would fundamentally reset New Zealand's tax system through three interconnected reforms:
- a Citizen's Income providing $19,400 annually to every adult, combined with a streamlined tax and benefit system
- Additional support, including disability, child, housing and single parent supports paid automatically to households on the basis of simple criteria
- a Land Value Tax of 1.75% on urban land and 0.5% on rural land,
- a compulsory contributory superannuation system (KiwiSaver 2.0) with contributions totaling 12% of gross earnings (6% employer, 6% employee), phased in gradually over 6-7 years.

Together these create a package that puts more money in New Zealanders' pockets, while making housing more affordable and our economy more productive. This is an investment in ending the cost-of-living crisis, making work more rewarding, and preparing New Zealand for the economic shocks ahead.

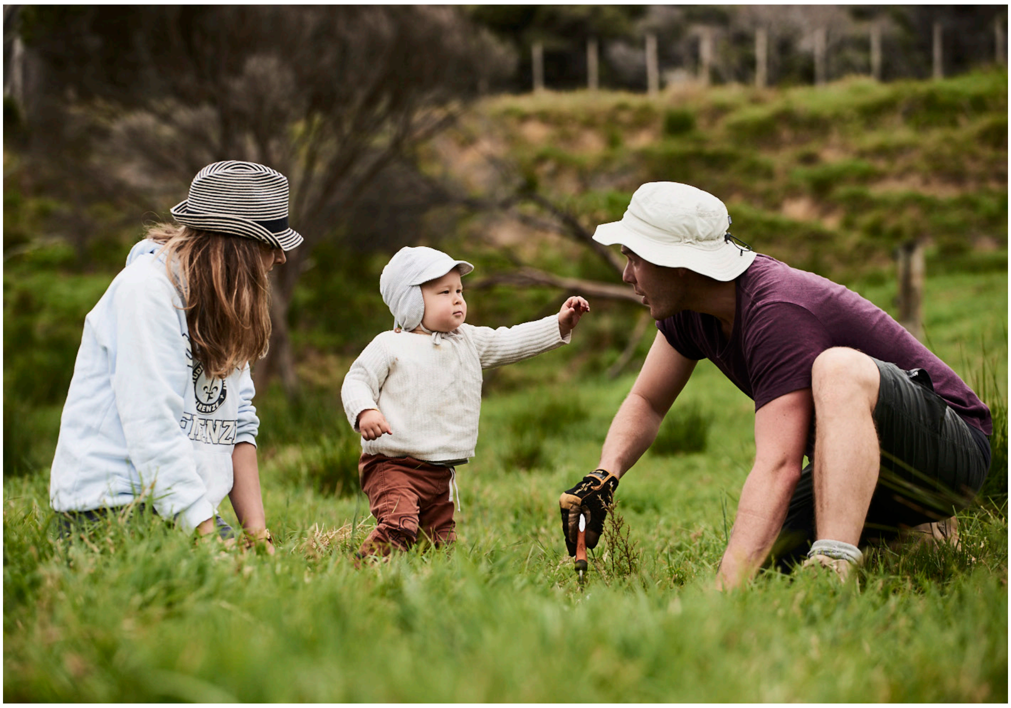
Our reforms will:

- Give every adult the basics to live well and contribute to society
- Replace most main benefits and streamline the welfare system, cutting bureaucracy

- Significantly decrease poverty, especially among children
- Make housing affordable and redirect investment toward productive uses
- Simplify income tax with clear brackets that eliminate secondary tax rates and bracket creep
- Build up a large pool of savings that can finance infrastructure, support productive investment, and ensure comfortable retirement for all New Zealanders

Opportunity's Tax Reset will enable:

- An effective tax cut for the vast majority of New Zealanders, with the largest benefits going to working households earning between $20,000 and $120,000
- Lifting at least 50,000 families out of poverty, with almost all working families reaching living wage income levels
- Downward pressure on house prices and better conditions for developers to build more housing stock for more New Zealanders.
- Simplified welfare with savings of at least $1.5 billion in administration costs
- Ending poverty traps by eliminating effective marginal tax rates of up to 90% that currently prevent beneficiaries from working part-time
- Greater resilience, with every New Zealander having a financial foundation to weather job losses, climate disasters, and economic shocks
- Recognition of unpaid work with parents, caregivers, and volunteers valued for their contributions to society
- Long-term fiscal sustainability by transitioning from an unsustainable pay-as-you-go pension system to a contributory model that links retirement income to lifetime contributions
- A domestic savings pool that will top $1 trillion within 20 years, increasing the availability of capital and lessening our reliance on offshore borrowing and strengthening our financial resilience



The problems we're solving

The cost-of-living crisis is crushing working families
When butter, cheese, fruit, and vegetables are increasingly out of reach for everyday New Zealanders, something is fundamentally broken. Working families struggle to afford rent, power bills, and groceries despite being employed. Their work is heavily taxed while untaxed capital gains on housing enrich property owners at the expense of renters and first-home buyers.

Welfare isn't working—it traps people in poverty
The current benefit system punishes work through devastating effective marginal tax rates. When someone on Jobseeker Support picks up a few hours at the local café, they can lose up to 90 cents of every dollar they earn. This isn't a pathway out of poverty; it's a trap that keeps people stuck on benefits.

The system subjects beneficiaries to intrusive monitoring that costs hundreds of millions annually and is degrading to those who need support. This money could be going directly to families in need. It is also needlessly complex, so that even experts struggle to navigate it. This complexity enables fraud, increases compliance costs, and leaves people in debt from accidental overpayments.

An outdated tax and welfare system is not fit for hard times
Our tax and welfare system was designed for a different economy. It cannot handle the shocks ahead of us: AI-driven job losses, extreme weather events, and economic uncertainty. We need a straightforward system that will support New Zealanders to adapt to job-loss, and permit flexible work and training. These are the realities future workers will need to adapt to in response to a changing and less stable world.

A broken housing system locks Kiwi families out of stability and security
A home should provide security and stability—the foundation for a productive life. Yet our tax system has put home ownership out of reach for an entire generation. House prices have risen dramatically since 2000, driven by speculation and untaxed capital gains rather than the productive use of land. Our tax settings incentivise holding land for capital appreciation rather than building dense housing or investing in businesses. This creates an economy where money flows into property speculation instead of the innovation and hiring that drive real prosperity.

Our retirement income is on an unsustainable trajectory
New Zealand's current retirement income system is on an unsustainable path with today's benefits funded entirely from current tax revenue. As our population ages, this model faces mounting pressure. Treasury projects that, without reform, National Superannuation expenditure will rise from 15% of government revenue today to approximately 22% by 2065.

Without reform, we face three unpalatable choices: raise taxes substantially on working-age New Zealanders, cut superannuation benefits for retirees or reduce other essential public services. None of these options is acceptable.

At the same time, New Zealand's low national savings rate limits our capacity to fund productive investment domestically. We remain heavily reliant on offshore capital, exposing us to external shocks and limiting our ability to finance infrastructure and economic transformation on our own terms.

1. Give every Kiwi the basics to live well and contribute

The Citizen's Income is a tax-free universal payment that ensures every New Zealander has the financial foundation to participate fully in society.

1.1 The Citizen's Income

Every New Zealand Citizen and resident aged 18 and over receives an annual amount equivalent to the Jobseeker benefit; currently $19,400 annually, paid fortnightly into their bank account. No forms to fill in, no Work and Income appointments, no relationship status checks—just a guaranteed payment that provides the basics.

The Citizen's Income replaces many main benefits, including:

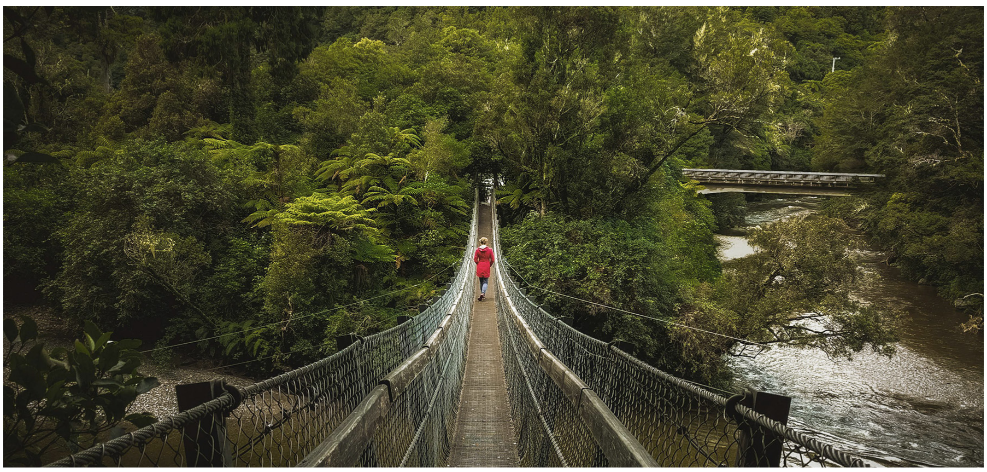
- Jobseeker Support
- Sole Parent Support
- Student Allowance
- Supported Living Allowance

1.2 Income Tax Realignment

To balance the Citizens' Income, simplify the tax system, and maintain progressivity, current income tax rates will be replaced with three straightforward income tax brackets:

- 28% for income up to $50,000 p/a
- 34% for income between $50,001 and $200,000 p/a
- 39% for income at $200,001+ p/a

Combined with the Citizens' Income, this represents a reduction in total income tax at all income levels, with the largest reductions at lower income levels where it is most needed.Those earning less than $60,000 per year will pay less income tax than the Citizens' Income they receive.



1.3 A Simplified Benefit System

For most people, the Citizens' Income will not be enough to live on. Many New Zealanders need additional income to support themselves and their families, and can not necessarily be expected to obtain it from employment. The current system of benefits and tax credits is complex, punitive, and expensive to administer. We will replace the bulk of it with the following universal supplementary supports:

- All parents will receive the following tax free Child Support Incomes
    - First year: First child $18,250 ; Each subsequent child $17,250
    - Second year: First child $13,750 ; Each subsequent child $12,750
    - Third year: First child $13,750 ; Each subsequent child $12,750
    - Years 4-18: First child $7,750 ; Each subsequent child $6,750
- These Child Support Incomes replace: Working for families payments (family tax credit and in work tax credit), Paid Parental Leave payments, and Best Start payments. They will be available for all parents, are not reliant on parents attending work, training, or study nor children attending a daycare service. This saves extensive bureaucratic costs and gives parents more freedom of choice. The 20 hours subsidy for children aged 3 and over to attend Early Childhood Education is unchanged.
- Sole parents will receive an additional allowance of $9,500 per annum
- A disability allowance of $6,000
- Superannuitant top-ups of $5,250 in total for a couple or $10,000 for a single person
- Housing Support Income payments based on regional housing costs but averaging $10,500 for families and $6,500 for couples and singles.

Each type of support will gradually reduce by 10 cents for every extra dollar earnt, starting from household income between $50,000 and $75,000. This efficiently ensures that the most support goes to those who need it the most.

In all cases, eligibility is based on straightforward criteria and does not require complex administrative assessments, namely means testing or job search requirements. Applications will be made online through My IRD or MyMSD and automatically approved if criteria are met.

2. Make housing affordable through a Land Value Tax

The Land Value Tax fixes the broken settings that have driven house prices to unconscionable levels. By taxing land, we redirect money from speculation to productive uses while encouraging the dense housing supply New Zealand desperately needs.

The LVT changes incentives:

- Land banking becomes expensive, encouraging sale to those who will use land productively
- Dense development pays off, as the tax is on land value, not improvements
- Speculation becomes less profitable, as annual holding costs increase
- Productive use is rewarded, as farms and businesses generate income to pay the tax.

This represents a massive redirection of investment from unproductive land holdings toward businesses, hiring, and innovation.

With an estimated total land value of approximately $1.7 trillion nationally, the LVT generates approximately $24 billion annually. This is what enables the Citizens' Income changes above.

2.1 A Land Value Tax of 1.75% on urban and 0.5% on rural land.

An annual tax on the unimproved value of all urban land set at 1.75%. Critically, this does not include the value of buildings or other improvements.

We already know the land value of much of our land: it's included in Council rating valuations.

Rural land is more challenging to value, and the revenue of many rural businesses are subject to changes in global prices and extreme weather events. A lower land value tax rate of 0.5% is therefore appropriate.

2.2 Exemptions for public functions

A land value tax is designed to shift land-use towards more efficient uses such as higher-density housing. However, there are some land uses that deliver public benefit or that it would be otherwise inappropriate to impose a land value tax on.

Exemptions to the land value tax will apply for:

- Communally-owned Māori land
- Conservation land (public and private)
- Land owned by clubs, societies, and non-commercial religious organisations
- Local and central government land
- Treaty settlement land (subject to consultation with iwi), and
- Social housing.

2.3 Deferrals protect older people and farmers

Similar to the land uses for exemption, there are some landowners for whom the LVT risks imposing undue hardship.

Older people are typically on fixed incomes and may be unable to generate additional income by working or access the capital stored in their houses. For superannuitants, all LVT will be deferrable until the property is sold.

While farms generate income and can therefore pay the lower rural LVT, the farming sector is for the most part exposed to global commodity prices and weather events that can affect profitability. In both situations more limited LVT deferral will be available.

3. Saving for our future

New Zealand needs a retirement system that is fiscally sustainable, intergenerationally fair, and economically productive.

We will transition from the current pay-as-you-go National Superannuation to a compulsory contributory superannuation system—KiwiSaver 2.0—that builds a large pool of national savings while ensuring every New Zealander can retire with dignity.

This addresses the unsustainable trajectory of superannuation costs while creating a trillion-dollar pool of capital to finance our infrastructure and investment in productive Kiwi firms.

3.1 Compulsory and universal Kiwisaver 2.0

KiwiSaver 2.0 will be fully compulsory for all eligible workers. Once fully implemented (after 8 years) contributions will total 12% of gross earnings: 6% employer contribution and 6% employee contribution. To minimise disruption to workers and businesses, contribution rates will increase gradually; by 0.5 percentage points per year for each of employer and employee contributions.

KiwiSaver 2.0 will be entirely separate from the existing voluntary KiwiSaver scheme, which will remain in place as a supplementary savings vehicle for those who want to use it. Existing Kiwisaver holders will be able to transition funds to the new account if they wish.

Unlike current Kiwisaver balances, Kiwisaver 2.0 will not be able to be withdrawn for hardship or first-home deposits. However, we will enable bank loans over balances to support first home buyers to access lending.

3.3 Full tax exemption

Once fully phased in, the entire 12% contribution (6% employer + 6% employee) will be exempt from income tax. This provides substantial tax relief whilst encouraging long-term retirement savings. Tax on income earned within KiwiSaver 2.0 funds will be progressively reduced, with all fund income becoming tax-exempt after twenty years.

Tax Reset—Frequently Asked Questions

How will you pay for the Citizen's Income?
The policy as a whole is fiscally positive. Based on 2024 numbers, the Land Value Tax pays for the Citizen's Income with around $4 billion extra annually in net Crown revenue.

Cost		$m	Revenue	$m
Net cost of CI		**15788**	**Land Value Tax**	**24323**
Headline CI Cost	69648		**Administration Savings (MSD, IRD)**	**3825**
Less Income Tax Clawback	(23381)			
Less Main benefit replacement (Jobseeker, NZ Super, Supported Living, Sole Parent, Student Allowance)	(30479)			
Net Supplementary Support cost		**8279**		
Additional benefits cost	15614			
Less additional benefits replaced	(7335)			
Total cost		**24067**	**Total revenue**	**28148**

A previous version of this table used incorrect data that did not materially alter the overall balance.
This was amended on 19/05/2026

Is the Citizen's Income just giving people money to do nothing?
No. Fairness and efficiency sit at the heart of the Tax Reset. But we get it. At first glance, the Citizen's Income can feel confronting. We believe it's the right policy for New Zealand for three reasons:

- The current benefit system is a mess. It traps people in poverty by penalising them with 70%+ effective tax rates when they take on part-time work. People spend hours filling in paper work at WINZ offices or wasting employers time in job interviews they don't want to be at. Under a Citizen's Income, work always pays and we won't waste billions every year on bureaucracy.
- The benefit system is straining. It will not cope with the unemployment challenges that economic shocks, extreme weather or AI disruption will throw at us. The solution is to look towards the universal income system that already works well in New Zealand - NZ Superannuation. NZ Super works because we value the security it offers to every older Kiwi and because the system prioritises efficiency over box ticking for every recipient.
- At $19,400 per year, the Citizen's Income is not enough to live on. The research shows that people don't stop working when they get it - instead they get the basic security needed to retrain for better jobs, start businesses, take time to find the right job (rather than the first job) or care for children or family without going broke.

What happens to NZ Superannuation?
No-one who relies on NZ Superannuation will receive less than they currently do under the Tax Reset. Under the policy, NZ Superannuation will be replaced by the Citizen's Income, combined with a top-up figure that brings the total payment into line with current NZ Super rates. In the longer term, as Kiwisaver balances grow under our Kiwisaver 2.0 system, this top-up could be reduced more in line with income, so that wealthier superannuitants pay more of their own way.

What will happen to people with disabilities living on benefits?
No one on a current benefit will receive less income than they do currently - including Kiwis with a disability. The Citizens Income will not replace disability supports targeted at specific needs such as transport or assistive technology. Necessary top-ups to the Citizens' Income for those on higher benefits have been included in our costing.

Day to day life on a disability benefit will improve under the Tax Reset - thanks to less paperwork and the ability to take on the right kind of work (at the right hours) without being penalised by losing benefits.

Be straight up. Who wins and who loses from the Tax Reset?
Renters and lower income workers will benefit the most from the Tax Reset. This group will see a significant income tax cut (the largest in New Zealand history) and benefit from more affordable housing.

Most homeowners will either get a smaller tax cut, stay the same or see a small tax increase - depending on their income and property value.

People on a benefit will not receive any additional income, but will benefit from a more efficient system that removes the 'poverty trap', where taking on work incurs effective tax rates of 70% or more.

Some 'asset rich, cash poor' Kiwis (like older New Zealanders and farmers) will be incentivised to make different choices under the Tax Reset. For example, a retired couple will reduce their tax bill by downsizing their home or shifting into renting (freeing up that home for the next generation). Or a farmer may choose to plant marginal farmland into native forests (for a tax cut), invest in more productive land-uses or sell part of their farm to a young farmer. To ensure retirees and farmers are supported through the decade-long Tax Reset transition, lower rates, deferrals and exemptions are included in the policy.

People who own a large property portfolio or are landbanking will see lower profits and be incentivised to invest their money in more productive sectors of the economy.

We recognise that some Kiwis will have to make different choices under the Tax Reset. But we're confident that this policy offers New Zealand the smoothest, most controlled exit off our current pathway to fiscal crisis. That's a road that leads to some really painful choices - so let's change our direction today.

Will the Land Value Tax bring house prices down?
Yes, That's the point. We project that a 1.75% annual Land Value Tax on residential and commercial land would cause a 10-15% reduction in property prices. Ideally this would be spread over a number of years as the market factors in the tax - which we cover in our Tax Reset transition plan. The LVT achieves this downward pressure by making it less profitable to hold property for speculation - encouraging landowners to either develop their land to cover the tax, or sell it to others.

We understand that this will be confronting for home-owners. People who have bought a house expecting it to appreciate in value, followed the tax system incentives. But when we factor in the $19,400 annually from the Citizen's Income, most homeowning households will be better off.

Under an LVT, collectively we'll build an economy that avoids crazy boom cycles (like in 2020-2022) and ensures the next generation of Kiwis get the security and stability of a home too.

Are these new ideas? Have they been tested before?
The Land Value Tax is an old idea and we use it today in the form of council rates. It's used at council and regional levels in places like Denmark, Taiwan and several Australian states too.

In fact, NZ was a world leader in introducing a Land Value Tax and it was the primary method of taxation here before income and GST tax were introduced in the 1980s. With the property market strangling our productive potential - it's time to bring it back at the national level.

The Citizen's Income (otherwise known as a Universal Basic Income) is a newer idea. Countries like Finland and Ireland are expanding trials of the system after seeing how income security enables people to study, start businesses, care for family or step-up in their community.

All that said, we understand this is a big change. But the problems the Tax Reset is trying to solve - like housing unaffordability, the cost of living crisis and an unsustainable retirement system - have been getting worse for decades. We think New Zealand deserves a serious attempt at fixing the foundations of our society and preparing properly for AI disruption, climate shocks and economic uncertainty ahead.

What does all this mean for the Government deficit?
In a fiscally tight situation like the one we find ourselves in, you really only have three options - cut services, grow the economy or raise revenue. The Tax Reset is about doing all three in the most efficient, productive way possible. The Tax Reset will:

- Cut services by removing the bureaucracy of the current benefit system - repurposing 2,000 Ministry of Social Development employees where they can have more impact.
- Grow the economy by delivering a tax cut to the 70% of Kiwis most likely to spend it, and unlocking capital for business lending instead of property investment.

- Raise revenue through the Land Value Tax. This is a fully-funded package of reforms that generates an additional $4b annually that we can use to invest in our future and reduce the deficit.

Why pay people a Citizens' Income and also raise tax rates to 28%, 34% and 39%?
This mechanism ensures that Kiwis on no (or very low) incomes can cover the basics - without the need for complex, expensive and intrusive means-testing. This process builds progressiveness into the system in a similar way to the New Zealand Superannuation - where any extra income people make above their basic-payment (like the Citizen's Income or Superannation) is taxed in higher brackets.

Other countries (like Australia) get around this problem by using a tax free three threshold - where the first $10,000 or so of income is not taxed. That's a good start, but the Citizen's Income goes further. It solves the 'poverty trap' that stops people taking on work while on a benefit, achieves significant system efficiencies and (when partnered with the Land Value Tax) finally ends our economic reliance on high house prices.

Does the Citizen's Income give millionaires money?
By itself? Yes. But we have paired the Citizen's Income with a Land Value Tax. Because most wealthy Kiwis own larger property portfolios, the additional tax they pay usually outweighs the $19,400 per year they receive as Citizen's Income.

Is the Citizen's Income only for New Zealand citizens?
The Citizen's Income is for all New Zealand residents aged 18 and over who meet standard residency requirements, similar to current benefit eligibility. Prisoners generally do not receive the Citizen's Income, based on existing benefit structures, though payments may go to the caregivers of their children. Temporary or RSE workers will also require extra considerations and provisions in the Tax Reset policy, which we'll work with impacted sectors to design.

Can you implement the Tax Reset gradually?
That's the plan! Change of this scale requires phased implementation. In our view the most effective approach would be to gradually increase LVT rates and introduce the Citizens' Income to successive age cohorts, starting with young people. Check out our Tax Reset transition plan for more details.

What about people who have worked hard and saved to buy a house?
We understand this concern deeply, and we want to be clear - the Tax Reset is not designed to punish people who own a home. Most homeowners will be better off once their Citizens' Income is factored in.

Many homeowners have seen their property values rise substantially over the years, often through no action of their own. That's not a criticism of anyone who bought a house and got lucky with timing. But it does point to something being wrong with the underlying system, and that's what we're trying to fix. A New Zealand where your house makes more money than you do - is not one that's working for the next generation.

The LVT corrects this imbalance. You still own your house. You still benefit from capital gains, though they'll be lower as land values adjust. Except now you live in a country where housing is affordable for your children and grandchildren, businesses can grow because capital isn't locked up in property and everyone has basic security through the Citizen's Income.

We think that's a fair deal.

What does the Land Value Tax mean for 'asset-rich, cash-poor' Kiwis like retirees or farmers?

To ensure that every Kiwi is supported through the Tax Reset transition - lower rates, exemptions and deferments apply. Retirees will be able to defer their Land Value Tax - making it payable by their estate. Farmers will benefit from a 0.5% Land Value Tax, be able to exempt privately owned conservation land and defer their tax payments in tough weather or economic seasons.

What effect will the Citizen's Income have on poverty?

Our conservative estimate suggests the Citizen's Income will lift at least 50,000 families out of poverty, as measured by the BHC50 metric (50% of median household income before housing costs). This is conservative, because it doesn't account for higher economic growth, lower health costs from less stress and hardship, better educational outcomes for children in secure households or increased entrepreneurship and risk-taking.

Could a Citizen's Income reduce wages?

Based on trials in other countries, there is no evidence that wages are reduced. In fact, wages for the lowest-paid workers may increase because they have more bargaining power. With guaranteed income, workers don't have to accept exploitative jobs out of desperation. Employers will need to offer decent pay and conditions to attract workers. To ensure the benefits of the Citizen's Income aren't captured by employers, we would retain minimum wage protections.

Could a Citizen's Income be inflationary?

Maybe temporarily. It's possible that there may be modest inflationary pressure from increased purchasing power among low and middle-income households. But this will be moderated by additional tax paid through the LVT, staged implementation giving the economy time to adjust, Reserve Bank monetary policy levers as needed and increased saving through Kiwisaver 2.0. The policy will be signaled well in advance, giving the Reserve Bank time to assess whether any adjustments are needed.

Won't the Land Value Tax just get passed on to renters?

The supply of land is fixed, and those who own houses don't want to lose money with them sitting empty. So there's a limit to Landlord's bargaining power with respect to their tenants. International evidence suggests that the expected future tax would be capitalized into land values - causing property prices and rents to reduce.

Longer term, the LVT encourages development of higher-density housing, increasing supply and reducing rents for everyone. Our housing policy will also increase the supply of low cost housing over time, providing more options to renters whose rents might have increased.

Won't landlords just increase rents if people get the Citizens' Income?
This is a fair concern, and one we take seriously. History shows it can happen. When student allowances were increased under the last Labour government, much of that money ended up going to landlords through higher rents rather than to students themselves.

The honest answer is that in a broken housing market, any income boost risks being captured this way. This is exactly why our runaway housing market has been such a driver of inequality over the past few decades, and why we're not just introducing a Citizens' Income and hoping for the best.

The Land Value Tax is the piece that changes the underlying dynamic. By taxing land rather than income or buildings, it becomes costly to sit on underdeveloped land or run a large property portfolio. This pushes more housing into the market, and more supply is the only thing that reliably brings rents down over time. A landlord can only charge what the market will bear, and when there are more homes to choose from, that ceiling drops.

The Citizens' Income and the LVT are not separate ideas bolted together. They're designed as a system. One puts money in people's pockets. The other works to make sure the housing market cannot simply take it out again.

What about those Kiwis who bought a house in the 2020-2022 boom?
This group of Kiwi home-owners are under particular pressure. Falling house prices have left many in negative equity (owing a mortgage larger than the value of their home). This kind of price volatility is specifically what the Tax Reset is designed to fix. Many of these Kiwis will benefit from higher incomes thanks to the Citizen's Income, which will give them more flexibility to decide to stay in the housing market or leave it.

How do you actually implement a Land Value Tax?
Council rating systems already value both land and total property separately. These valuations are sufficiently reliable for initial implementation. Over the longer term, we would consolidate into a single national system potentially linked to the land transfer system, ensuring accuracy and reducing compliance costs.

How will a Land Value Tax impact farming businesses?
To ensure that farmers are supported through tough seasons and the broader Tax Reset transition, the Land Value Tax is reduced to 0.5% for rural land and deferrals may apply.

It's true that farming can be a very low-margin business. For many farmers, the business model has become more about holding on for capital gains from land sales - because delivering consistent strong returns from farming practices can be such a challenge. That isn't sustainable. Food and fibre is a critical part of NZ's economy and we need our farmers to be profitable. That's why the Land Value Tax sits amongst a broader policy package designed to step-change research, development and high-value food & fibre production. It is one stick amongst many carrots and is a necessary measure to reduce land prices so that young farmers can get into ownership and start innovating. When the average age of a sheep and beef farmer is pushing 60 - downward pressure on land prices is necessary for the sector's future.

Is the Tax Reset politically realistic?
We acknowledge that the Tax Reset is a bold, transformative plan for New Zealand. But our current tax system is clearly failing - young Kiwis are leaving, economic growth is stagnating and our housing market is broken. We are standing to be a political bridge to a better, more future-fit tax system. So we'll work with our political partners to enact the 10-year Tax Reset transition plan within the confines of MMP politics and offer them the political cover to make hard choices about the future.

Won't a reduction in house prices undermine the revenue you expect to gain from the LVT?
Somewhat, yes. If land values fall as a result of the LVT, the tax base shrinks along with them. We've modelled for this and our revenue projections already account for a meaningful reduction in land values over time. It's also worth noting that the LVT is set at a rate that generates sufficient revenue even at lower land valuations than we see today.

It's also worth keeping in mind what a fall in land values actually means in practice. It means housing becomes more affordable. We're comfortable accepting some reduction in the tax base if the tradeoff is that more New Zealanders can afford a home.

If the cost of NZ Superannuation is unaffordable, why not reduce entitlements immediately?
Changes to superannuation need to be approached gradually so that people have time to plan and build up their savings. Older people who have moved out of the labour market are generally not able to use employment to compensate for a loss of net income. The Retirement Commission recently recommended a 'ten year roadmap' approach to reform of NZ Superannuation. Putting in place our Citizens' Income, Tax Reset, and Kiwisaver 2.0 policies would be a really useful start to the process of superannuation reform; giving us more options in the medium to long term to make savings without consigning older people to poverty.

Why not exempt rural land from the LVT altogether?
Rural land is overvalued too. Young farmers increasingly find it difficult or impossible to get into the business and buy land for themselves. A succession crisis is looming in the industry. A modest LVT will help to put some downward pressure on speculative price increases for farms, ultimately making the industry more sustainable in the long term.

Can local councils still charge rates?
Yes. The LVT is a national tax generating revenue for the Citizen's Income and national services. Council rates continue to fund local services. They're separate systems serving different purposes.

Why exempt Kiwisaver 2.0 contributions from tax?
The government will still tax the gains from Kiwisaver. It means that when someone puts $100 into their kiwisaver it won't be taxed down to around $70. They can then earn investment returns on the full $100 and only be taxed on those gains.

The tax exemptions will be funded by the National Superannuation Fund. In the long run, increased returns on a bigger pool of savings will more than cover that initial cost to Government.

What was your process in designing the Tax Reset. Have independent economists reviewed this?
The Tax Reset was designed by Opportunity's team of practising and retired economists. External economists have reviewed and provided feedback on the policy.

What about Temporary Residents and Workers. Increasing tax rates without a Citizen's Income will dramatically raise their tax bill.
There are small groups of workers who will require extra considerations and provisions in the Tax Reset policy - including temporary or RSE workers. We'll work with impacted industries to ensure the Tax Reset takes these groups into consideration, while balancing the pro-domestic hiring incentive that would eventuate if a higher tax burden was placed on foreign workers.

This policy is dedicated to the memory of **Ethne Bellingham**, an enthusiastic supporter since 2020.

She actively encouraged and supported her partner Owen Shaw to work on this policy, despite facing a terminal illness herself. She is greatly missed by all who knew her in Opportunity.